

Discovery

Uncovering hidden opportunities

David Pereira

Goal: Gain applicable insights to
try out product discovery from
today on

Agenda

Agenda

Why Discovery Matters

Discovery vs. Delivery

Discovery Journey

Discovery Elements

Assumption Testing

Kicking Off Discovery

Session Warm up

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Why Discovery Matters



Increasing Dealers Engagement

Creating a plan

- **Team:** Product Manager, UX, Software Engineer
- **Agenda**
 - Look at available data
 - Visit ten car dealers
 - Map the identified problems
 - Ideate on solutions
 - Experiment
- **Timebox:** 1 week

What did I learn from data?

Key Insight



Incredibly low conversion rate
0,8%

What I learned from interviews

Dealers had many problems and we were addressing the wrong ones

- Struggle to find cars they wanted
- Use desktops with large screen (at least 21”) to find cars
- Fear of being fooled with a problematic car
- Enjoyed attending auctions as they could make find good deals

The Dealers App was a misfit for our target audience. Investing time in it would cause massive waste.

Discovery vs Delivery

Discovery

Uncover what creates value

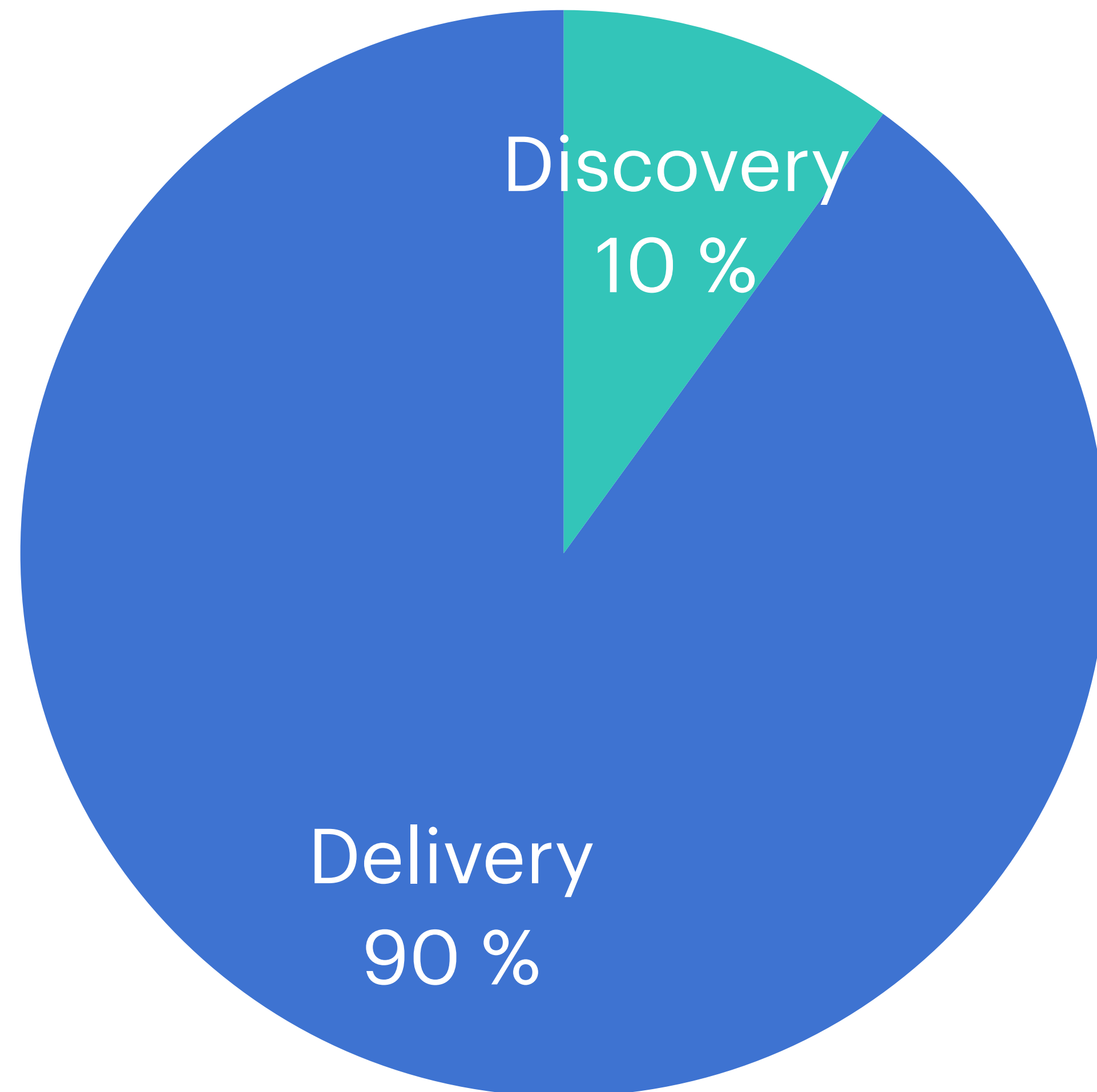


Delivery

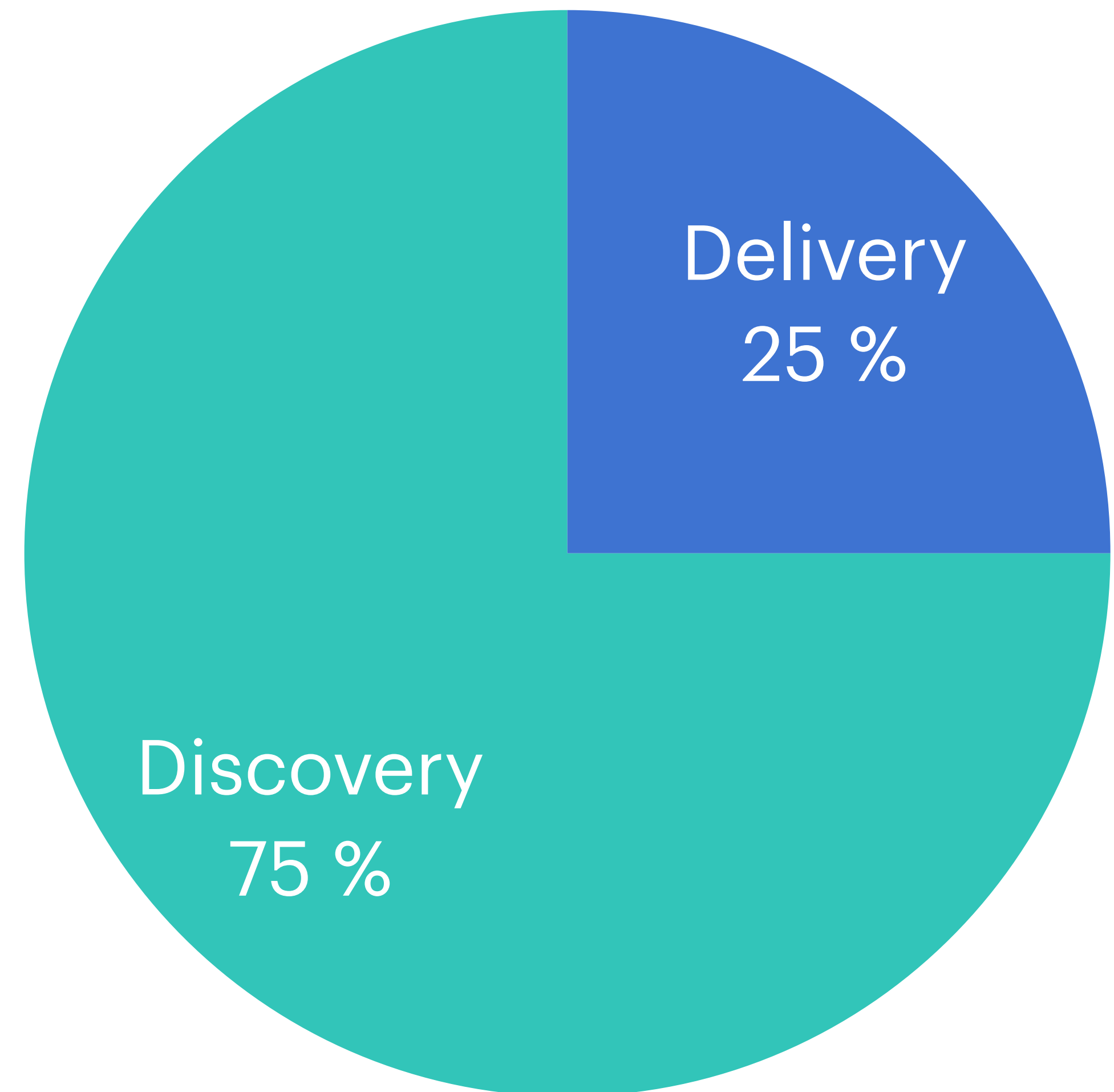
Produce what creates value



Common Scenario



Ideal Scenario



“If I had an hour to solve a problem I'd spend 55 minutes thinking about the problem and five minutes thinking about solutions.”

Albert Einstein

Teresa Tores

Product Coach and Author

“The hard reality is that product strategy doesn’t happen in the solution space.”



Discovery Journey



Customer Journey



Uncover Opportunities



Prioritize and Focus



Business Outcomes



Decide based on Evidence



Test Assumptions



Ideate on Solution

Marty Cagan

SVPG Partner

“The purpose of product discovery is to quickly separate the good ideas from the bad.

The output of product discovery is a validated product backlog. Specifically, this means getting answers to four critical questions: Will the user buy this (or choose to use it)?

Can the user figure out how to use this? Can our engineers build this? Can our stakeholders support this?”



Discovery Check
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Business Outcomes



What matters most for business right now?

What would change the company landscape for better?

Which trade-offs is the company willing to make?

What's the company unwilling to sacrifice?

Start with Questions

Reduce customer acquisition cost without impact on our growth rate

Increase customer lifetime value while keeping profitability sustainable

Accelerate growth rate even if it requires temporary increase of customer acquisition costs but do keep the NPS score at current levels

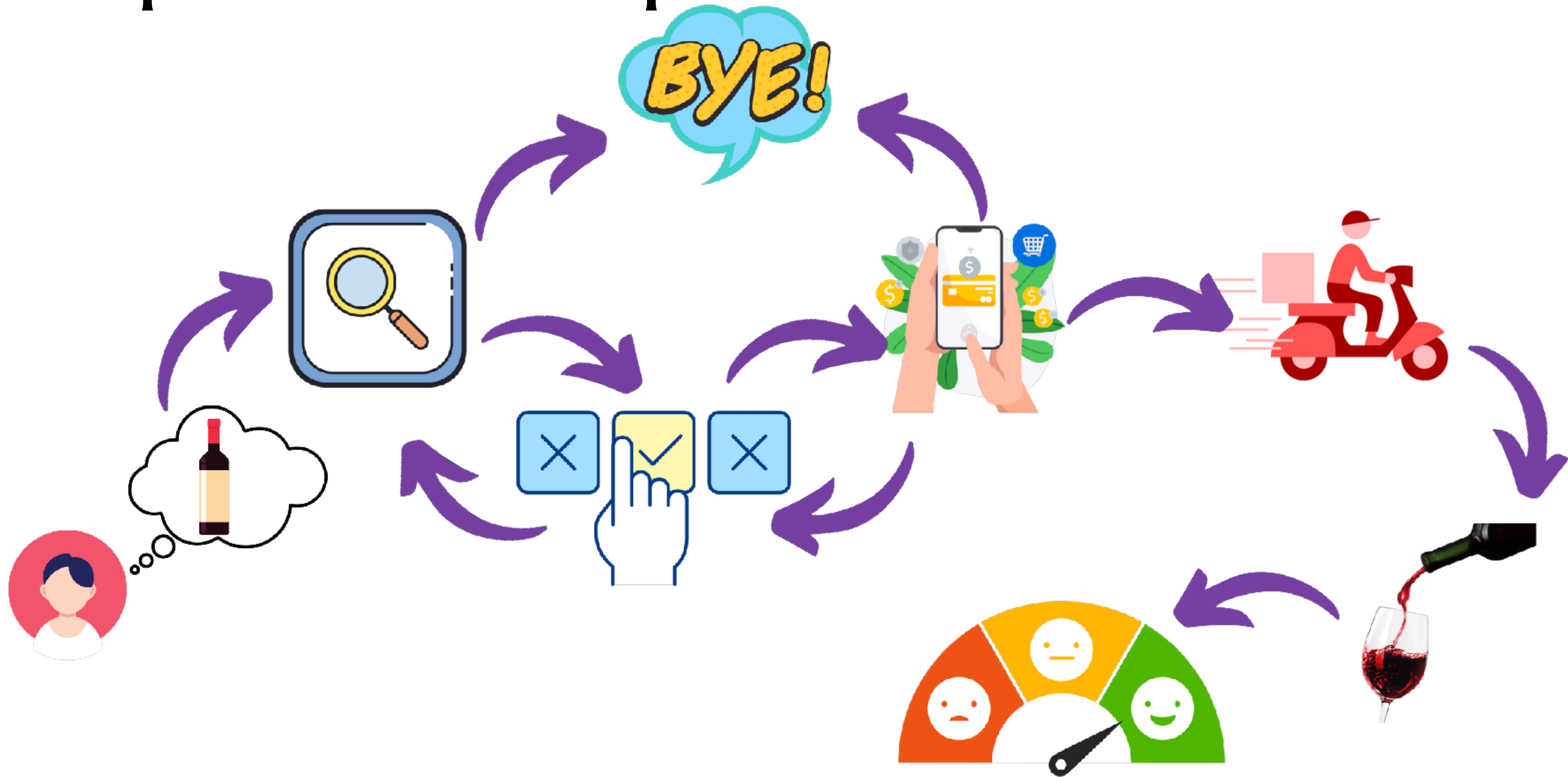
Examples

Customer Journey



- Do you have a shared view of your customer journey?
- Ensure everyone understands the steps customers have from beginning to the end.
- If you don't have, you could start by:
 - Each member draw a journey alone
 - Share the journey with each other
 - Improve together
 - Consolidate a version and share with your stakeholders

Example: Wine Online Shop



Exercise: Customer Journey

Split into two groups

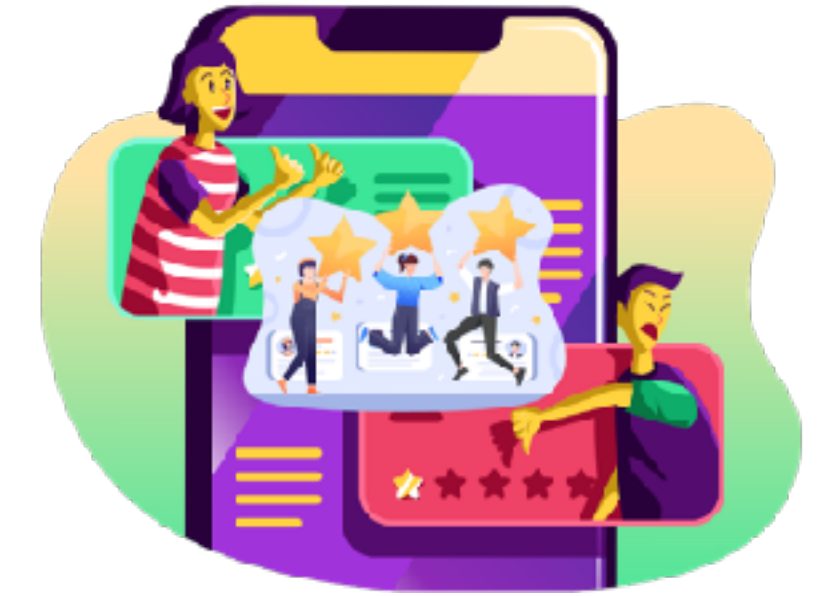
Create your high-level customer journey of a product you work with

Share the result with each other

15 minutes to create

15 minutes to share

Uncover Opportunities



What do you want to learn from your customers?

Pains

Needs

Wishes

How could you uncover opportunities from your customers?

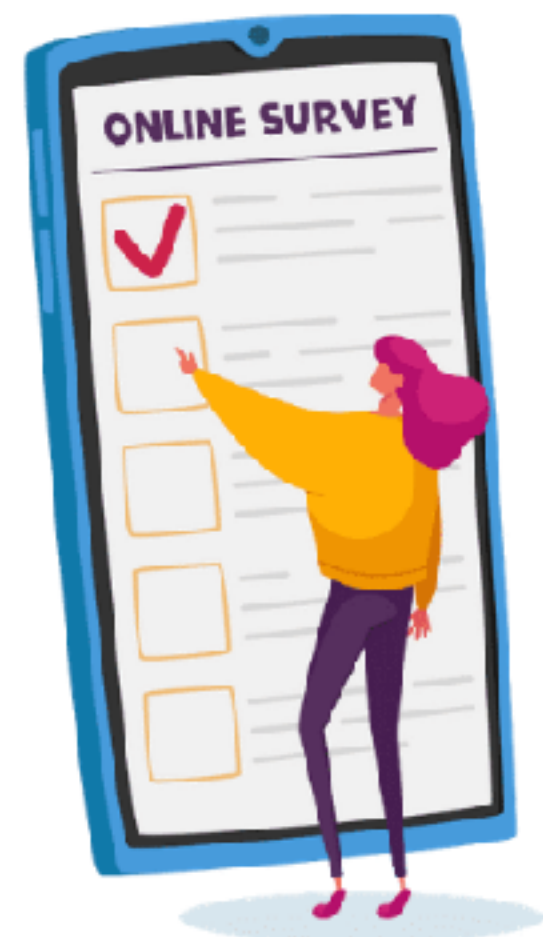
Interview

Observation

Survey

Data Analysis

The longer you take to learn, the riskier your decisions become



Surveys



Expert Interview



Data Analysis



Customer Service



Search Trends



Competitor Analysis

Tips with Interviews



What do good interviews have in common?

Start with context

Good opener

Focus on
understanding

Interviewee speaks
around 80%

What should you do after the interview?

Take 15 minutes

Debrief

Register Insights

What do good Interviewers do?

- Ask open ended questions
- Ask one question at a time
- Rephrase “why” questions with “how” or “what”
- Move from hypothetical questions to experience
- Strive to learn from stories, e.g., Please share with me a story when you ...
- Dig into confusing points to uncover opportunities



What could you learn from data?



When do users exist? Is it a general behaviour or related to specific scenarios?

Look into different users experiences, how does that impact NPS and conversion rate?

Which features are most used? Could you understand why?

Which features are rarely used? Could you understand why?

What are common complaints with customer service?

Nothing can replace contact with
real customers

Problem Space

What's a problem?

“A matter or situation regarded as unwelcome or harmful and needing to be dealt with and overcome.”

A problem can be solved in different ways

A problem description should not relate to a solution

Make the discovered opportunities visual

Map opportunities to business outcome

Share your discoveries with stakeholders and team

Focus on problem space

Don't talk about solutions at this moment



Example: Wine Online Shop



Decide and Focus

Consider key factors



Potential Business
Outcome

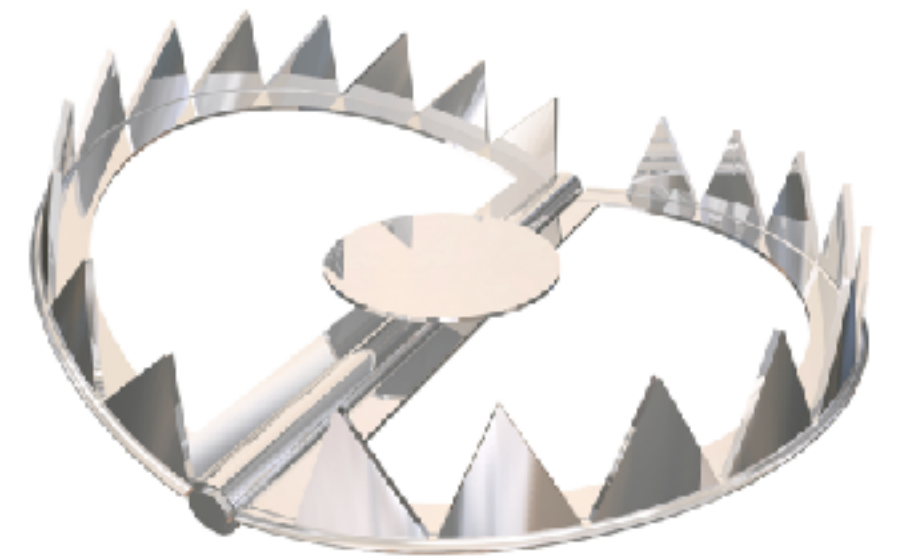
Customer Relevance

Number of Impacted
Customers

Potential to
differentiate

Ability of Solving the
Problem

Traps With Decision



Analysis paralysis

Warning!
Don't lead!

Only making
decisions when data
is available

Striving for consensus

Focus on avoiding
failures over learning

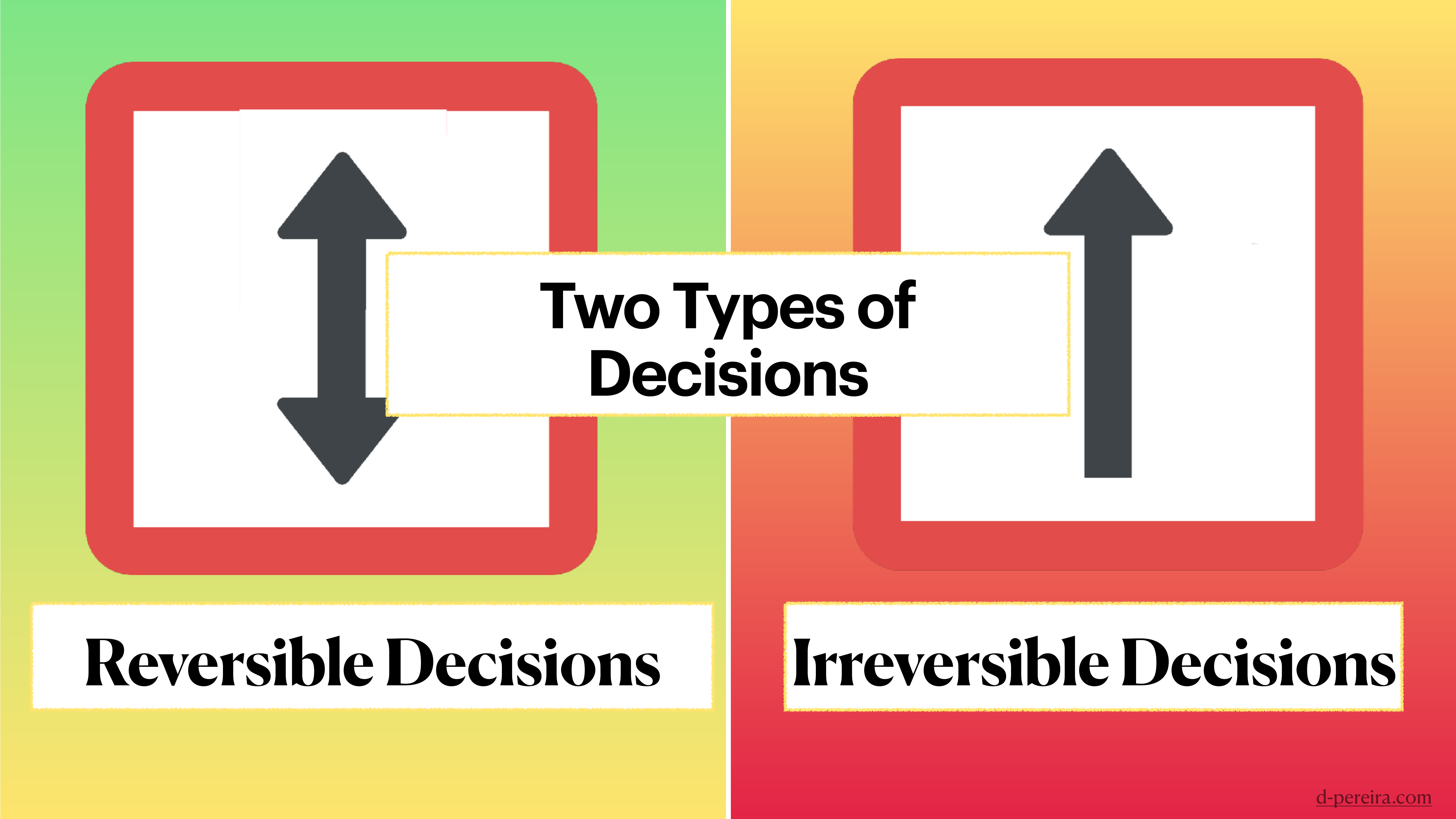
HiPPO - Highest Paid
Person Opinion

Jeff Bezos

Amazon Founder

"If you can make a decision with analysis, you should do so. But it turns out in life that your most important decisions are always made with instinct and intuition, taste, heart."





The diagram is split into two vertical panels. The left panel has a light green background and contains a large white square with a thick red border. Inside this square is a dark gray double-headed vertical arrow. The right panel has a light orange background and contains a large white square with a thick red border. Inside this square is a dark gray single-headed vertical arrow pointing upwards. A central white box with a yellow border overlaps both panels, containing the title 'Two Types of Decisions'.

Two Types of Decisions

Reversible Decisions

Irreversible Decisions

A bad decision is often better than no decision.

Analysis paralysis makes you stuck while a bad decision creates learning.

Example: Wine Online Shop



Ideate on Solutions



Involve the whole
team + key
stakeholders

Share the context and
opportunities

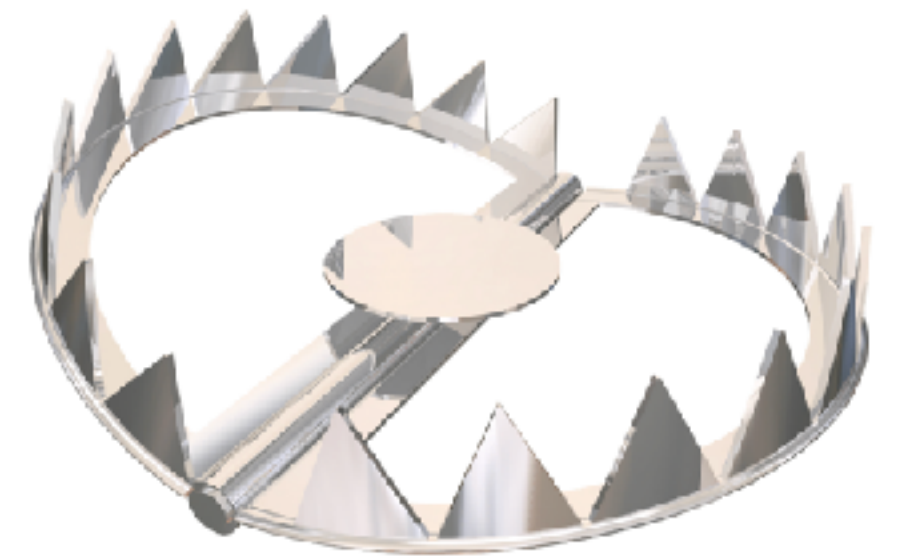
Ideate alone and
share in group, repeat
this at least twice

Cluster ideas in group

Remove ideas
unrelated to the
business goal

Prioritise three ideas
to test

Traps with Ideation



Participants missing
the context

Lack of diversity
within the participants

Only one solution per
opportunity

**Warning! Potential
Danger Ahead!**

Group thinking

Mostly conservative
solutions

Solutions unrelated to
desired business
outcome

Example: Wine Online Shop





Warning! Risk of Waste Ahead!



Confirmation Bias

Commitment Escalation

Types of Assumptions

Desirability: Do customers want it?

Viability: Is it viable in our business model?

Feasibility: Can we deliver it?

Usability: Will customers understand how to use it?

Ethically: Would this be ethically correct?

Identifying Assumptions



1 - Name Assumptions



2- What could go wrong?



3 - Prioritize

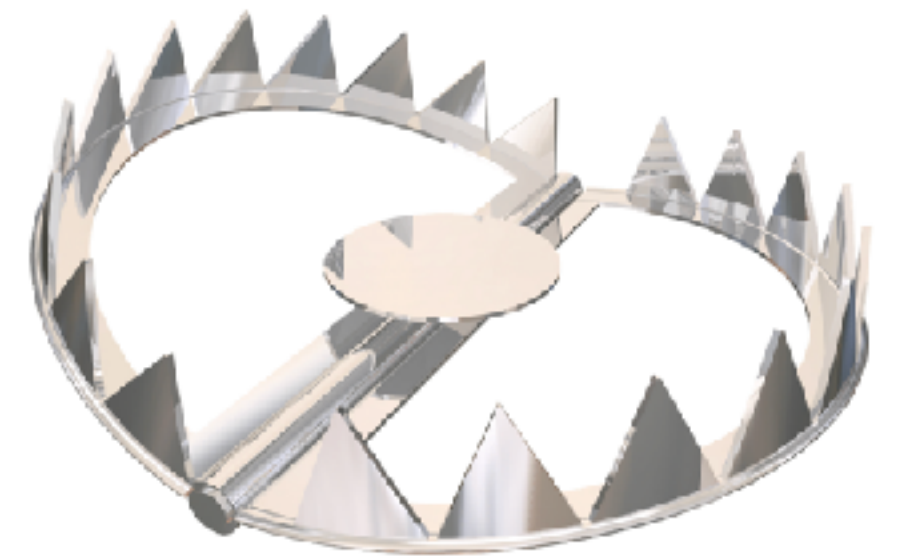


4 - Test key assumptions



5 - Learn and Adapt

Traps with Assumptions



Focus on validating
instead of falsifying

Test only desirability
while ignoring other
types

Test all assumptions
or test no
assumptions

**Warning! Pitfalls
Ahead!**

Treat all assumptions
the same

Test assumptions with
the wrong audience

How Can You Identify Assumptions?

Story Mapping: Define the user journey and enumerate the assumptions

Work backwards: what could potentially go wrong?

Story Mapping: Wine Made Simple Blog



Working Backwards: Wine Made Simple Blog

What could potentially go wrong?

Customers cannot
find the blog

Customers don't
engage with the blog

Customers don't
learn anything
relevant from our
blog

Customers are
distracted by the
blog and end up
buying less

We cannot create
relevant content in a
valid frequency

We cannot drive
enough traffic to our
blog

Exercise: Identifying Assumptions

Same group as before

Pick a request from your pipeline. Name the assumptions you have. You can use Story Mapping or Working Backwards method. Strive to uncover different types of assumptions.

20 minutes to identify assumptions

10 minutes to share

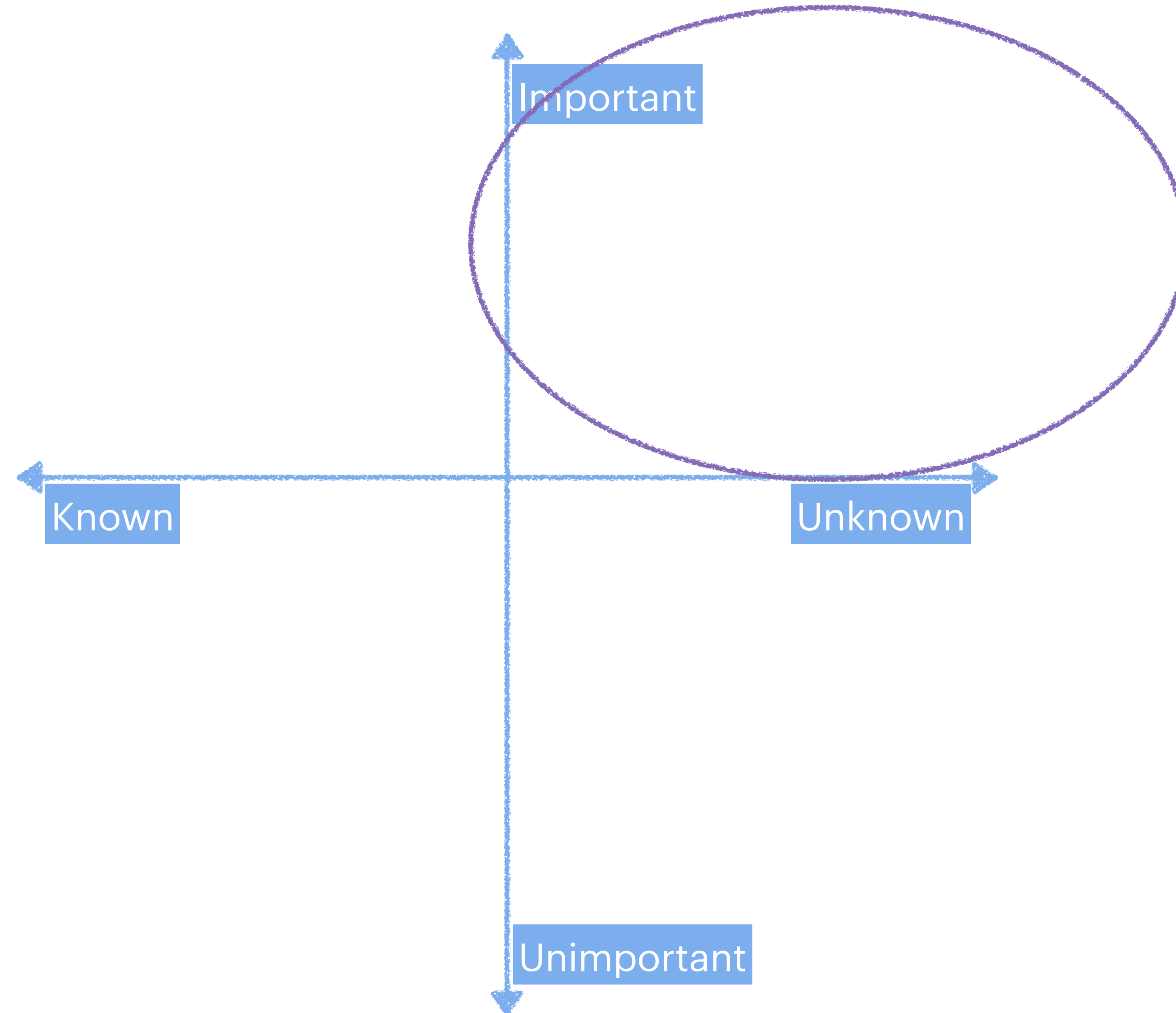
Prioritizing Assumptions

Simplify Decision-Making

Compare and Contrast



Categorize Assumptions



Exercise: Prioritising Assumptions

Same group as before

Use the assumption matrix and categorise your assumptions. The goal is to understand which assumptions you will test before starting the implementation.

10 minutes to categorize them

10 minutes to share

Defining the Test & Expected Result

1 - Define the expected results before running tests

2 - Clarity on what success is

3 - Use absolute numbers instead of percentage

4 - Agree on a test method, e.g., unmoderated prototype, painted doors, surveys, etc



404 Test



Wizard of Oz



Prototype



Concierge



Landing Pages



Painted Doors

Example: Wine Online Shop

- **Assumption:** We believe customers are interested in reading about wine
- **Test Method:** Painted doors
- **Target Audience:** Users that have actively search over the last weeks but not bought anything
- **Reach:** 1% of audience based on the criteria
- **Duration:** 2 hours
- **Expected Result:** 30 out of 100 users will click on the blog “Wine made simple”

Exercise: Defining Test & Expected Results

Same group as before

Take one assumption from your top right quadrant, and define the test method and expected results.

15 minutes to define the test and expected results

10 minutes to share

Testing Assumptions

Don't focus on creating evidence that justify building. Search for evidence to justify NOT building or building it differently.

Testing Assumptions



**First, discover the
direction**

**Make short
experiments (hours)**

**Choose between:
Iterate, pivot, drop**

Start Small

**Strive for stronger
evidence**

Scale your reach

Inspect and Adapt

Grow Gradually

Decide Based on Evidence



How did the experience run?

Did the result match the expectations?

What did you learn from it?

First, Questions

Decide on progressing, pivoting or dropping

Be careful with false positives or negatives (in doubt run it again)

Decide and Move

Kicking Off Discovery

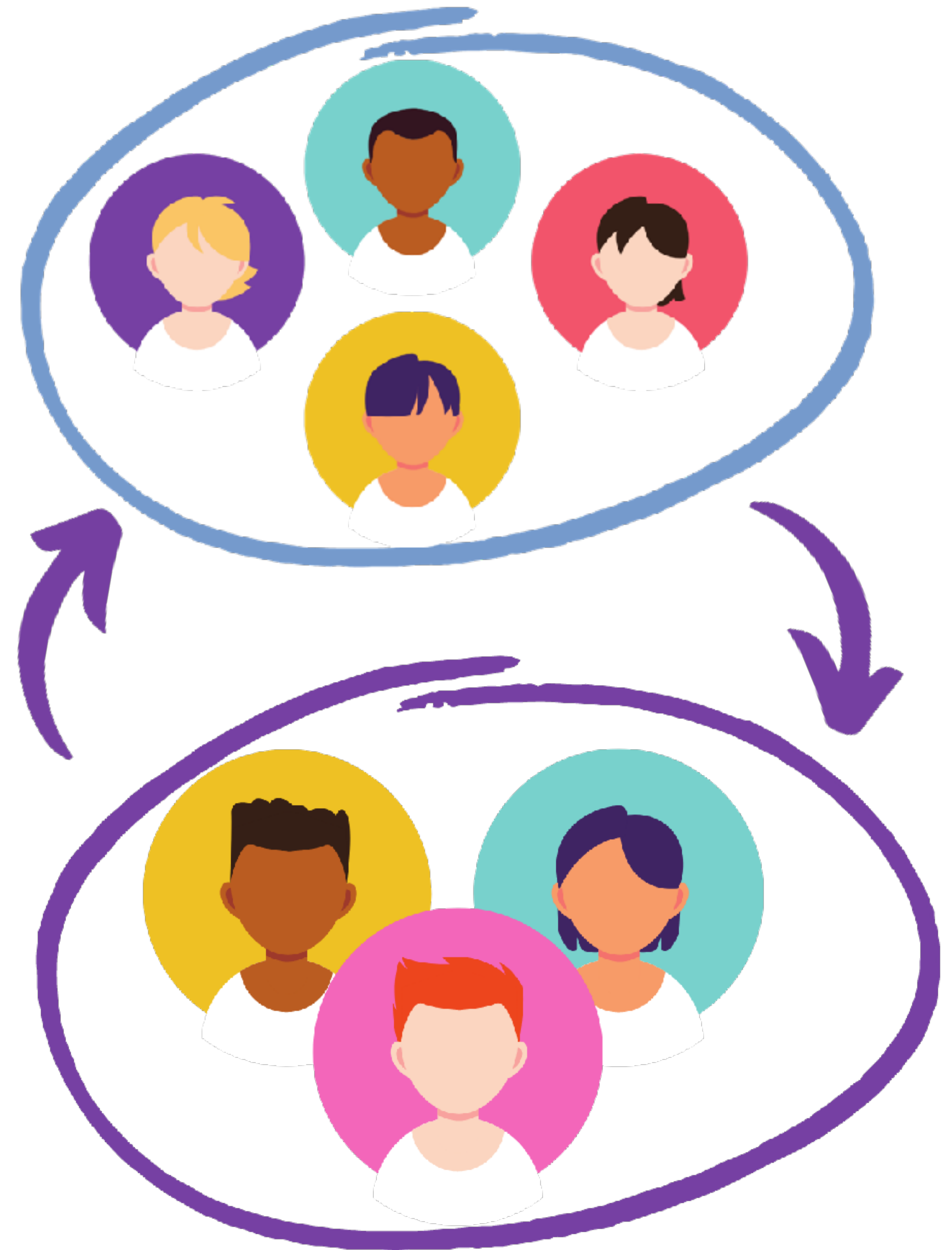
Set your Product Trio

- A small team will ensure speed
- Three people is a good size
- Benefit from different perspectives
- A good Product Trio contains:
Product Manager, Designer, and
Software Engineer



Partner with your Stakeholders

- Help stakeholders understand how you think
- Walk them through your discoveries
- Keep them on the problem space and ask their perspectives
- Move from options to facts
- Keep them in the loop with the relevant information



Discovery Check List

- Product Trio: Product Manager, Designer, Software Engineer
- Alignment with Stakeholders on the business outcome
- Routine to continuously gain customer insights
- Share progress with stakeholders, focus on the problem space
- Share the gained insights with the whole team
- Ideate on one customer opportunity at a time
- Define three solutions idea for the selected opportunity
- Define Assumptions (desirability, feasibility, viability, usability, ethically)
- Run experiments (start small and grow based on evidence)
- Rinse & repeat

Marty Cagan

SVPG

“Winning products come from the deep understanding of the user’s needs combined with an equally deep understanding of what’s just now possible.”



Session Wrap-Up

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Additional Resources

- Continuous Discovery - Teresa Torres
- Testing Business Ideas - David Bland
- The Invincible Company - Alexander Osterwalder
- Story Mapping - Jeff Patton
- Discovery Process - Tim Herbig

- Discovery Principles - Tim Herbig
- How do you draw a toast? - Tom Wujec

Moving from Output to Outcome

Coreen T. Sol

Book Author

“A lagging indicator is something that tells you what is going to happen after it already happened.”



Identify leading indicators

- Start with a laggard metric, e.g., Retention
- Ask: what leads to customer retention?
 - Delivery time matched
 - Clients find what they want
 - Complaints solved within a day
 - Refunds and cancellation processing time
 - Rewards for loyalty
- Focus on measuring leading metrics

Use the power of questions on your favour

- How would that help us drive our desired business outcome?
- What do you need that for?
- How did you come up with this idea?
- Which problem do you want to solve with that?
- How do you currently deal with this problem?
- What would happen if we don't do that at all?
- Let's say we implement your solution, how would you measure the success of it?
- I see you're convinced by your solution, could you help me understand which evidence give your conviction?

Thank you

Join me and let's transform the product world

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